

2004 ANNUAL REPORT

Canada Bread Company, Limited

Canada Bread is a leading manufacturer and marketer of value-added flour based products, including fresh bread, rolls, bagels and sweet goods, frozen partially baked or par-baked breads and bagels, and specialty pasta and sauces. The Company markets products under a number of leading brand names, including *Dempster's®*, *Olafson's, POM®*, *Ben's®* and *Olivieri®*.

Canada Bread employs more than 7,000 people at its operations in Canada, the United States and the United Kingdom. The Company is 86.9% owned by Maple Leaf Foods Inc. and its common shares are listed on the Toronto Stock Exchange under the symbol CBY.

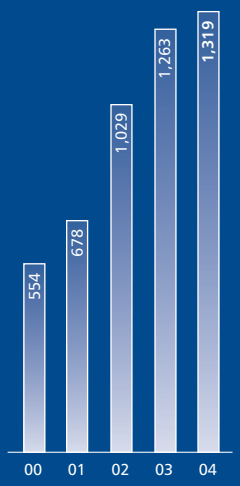
Contents

01 Financial Highlights 02 Message to Shareholders 04 Management's Discussion and Analysis 11 Management's Statement of Responsibility 11 Auditors' Report to the Shareholders 12 Consolidated Financial Statements 15 Notes to the Consolidated Financial Statements 24 Corporate Information

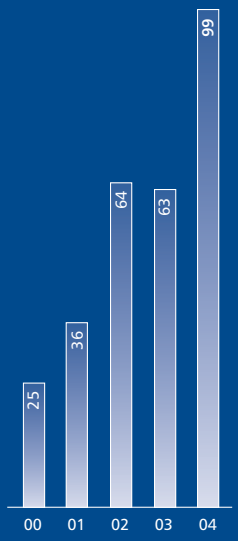
Financial Highlights

(in millions of Canadian dollars except per share information)	2004	2003	2002	2001	2000
Consolidated results					
Sales	$ 1,319	$ 1,263	$ 1,029	$ 678	$ 554
Earnings from operations before restructuring costs	99	63	64	36	25
Net earnings	67	36	39	21	17
Per share					
Net earnings before restructuring costs	$ 2.62	$ 1.61	$ 1.80	$ 0.97	$ 0.80
Dividends	0.24	0.24	0.24	0.24	0.24
Book value (i)	18.75	16.42	13.29	11.73	10.99
Number of shares (millions)					
Weighted average	25.4	25.1	21.4	21.4	21.4
Outstanding at December 31	25.4	25.4	21.4	21.4	21.4

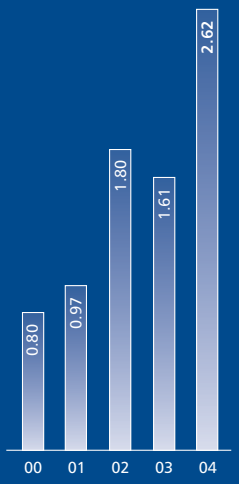
(i) Excludes equity component of long-term debt.



SALES
(millions of dollars)



EARNINGS FROM OPERATIONS
Before restructuring costs
(millions of dollars)



EARNINGS PER SHARE
Before restructuring costs
(dollars)

Message to Shareholders

Canada Bread's operating results for 2004 reflect a year of strong financial momentum and growth. Our teams rose to the challenges of operating in an extremely difficult marketplace where the low carb phenomenon reached its height and the rising Canadian dollar created challenges in our U.S. business. Sales increased 4% to $1.3 billion, while operating earnings were $99.0 million compared to $62.9 million before restructuring costs in 2003. Net earnings for 2004 were $66.6 million or $2.62 per share.

Our ***Fresh Bakery*** team increased operating earnings by 82% before restructuring costs in 2003. As one of Canada's leading bakeries represented by our national flagship brand *Dempster's*® and leading regional brands like *Olafson's*, *POM*®, *Bon Matin*® and *Ben's*®, Fresh Bakery continued to perform extremely well because of our strength in premium nutrition categories, and new product innovation. With the more sustainable consumer shift towards "health and wellness" products, our team expanded the *Dempster's WholeGrains*™ offering to meet the rising demand for the whole wheat/whole grain products, and quickly introduced *Dempster's Carb Wise*™ bread to meet the needs of the low carb shopper. Even *Dempster's Stays Fresh to the Last Slice*™ white bread delivered strong market share growth in the declining white bread category, reflecting the power of innovation to add new excitement to mainstream products. This team also continued to make major gains in improving our cost structure, using Six Sigma to identify inefficiencies and significantly reduce in-plant waste.

Our Olivieri® fresh pasta operations made great progress in 2004, firmly establishing itself as a leading provider of premium, quality pasta products and sauces in the U.S. and Canada. This team made great strides in expanding North American retail and foodservice sales in 2004. Supported by new innovations for consumers looking for healthier product choices – *Carb Wise*™ and *NutriWise*™ whole wheat pasta – both contributed positively to results.

Our ***Frozen Bakery*** performance in 2004 did not meet expectations, although we achieved a 23% increase in operating earnings from the prior year. The earnings improvement was due to significant growth in the foodservice market, benefiting from the shift to healthier sandwich offerings at quick service restaurants, and strong performance in the U.K. Bakery operations. The challenges stemmed from a few factors. First, the low carb phenomenon appeared to have more impact in the U.S., the biggest market for our frozen bakery business, resulting in weaker retail in-store bakery sales, which also tend to be more weighted toward white bread products. The second factor was the higher Canadian dollar, which changed the competitive position of our Canadian bakeries which produce frozen bread for the U.S. market. The third factor was integration challenges as we united our U.S. and Canadian distribution systems, further exacerbated by rising fuel costs.

We are moving on all three fronts. First, we are responding to rising consumer demands for whole grain nutritious products by rolling out our *Wholesome Harvest* line of par-baked grain and whole wheat products to revitalize the in-store bakery category. Second, we are addressing the short-term pressures of the strong Canadian dollar by acting decisively to improve our cost structure. In particular, this means

addressing the third issue, our distribution costs. Integration challenges, including systems, structure and training, resulted in distribution inefficiencies which cost us money. We are responding aggressively with a number of initiatives, and the first quarter of 2005 is already showing significant improvement.

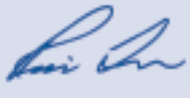
On the innovation front, we are launching a revolutionary new product: *FroBake*® freezer-to-oven frozen dough. *FroBake*® delivers a superior product that is more moist and crusty, but skips the 3-5 hour proofing and retarding phase required to take conventional frozen dough from frozen to oven ready, saving time and labour costs for customers. This product will complement our existing par-baked line and expand the Company's market by providing a further compelling alternative to frozen dough. *FroBake*® products will be produced on a commercial basis at the Company's bakery in Roanoke, Virginia commencing in the second quarter of 2005.

Our U.K. Bakery operations produced strong results for the year with increased volumes in the U.K. and growing sales into Europe. To meet the strong growth in the U.K. bagel market, we have constructed the largest bagel bakery in our entire system with the capacity to produce 48,000 bagels per hour in Rotherham, England. Our U.K. bakery operations provide an excellent platform for growth into Europe. We are developing markets through expanding our sales into Europe, with a longer term view to making strategic acquisitions in the specialty bakery markets.

LOOKING AHEAD

Improving our operating efficiencies will continue to be a significant focus for our operations in 2005. However, we understand that our future growth cannot be predicated on cutting costs alone and growing our market shares requires increasing bread consumption and demand for our products. A major thrust in our Fresh Bakery operations will be a brand strategy to be launched early in 2005, which will define a clear plan for targeting growth in three key markets: the "mainstream" or everyday bread market; the "health and wellness" market; and the premium "indulgence" market. Our goal is to lead in all these markets through product innovation, strong brand platforms, and developing well-defined and complementary category management strategies with our customers. In our Frozen Bakery business, we are very excited about the growth opportunity through our expanded line of premium wheat and whole grain par-baked products and our entry into the frozen dough market with *FroBake*®.

Canada Bread brings to the market a passion for great products, leading brands and a strong track record of innovation. We are very proud of our employees and our dealers, and what we accomplished in 2004, but as a winning team we are always looking for new ways to reward our customers and delight our consumers with the most flavourful, nutritious and exciting bakery products in the marketplace. We are looking forward to delivering on this promise in 2005.





Richard A. Lan
President and C.E.O.

Michael H. McCain
Chairman of the Board

Management's Discussion and Analysis

OVERVIEW

The following is a discussion of the results of Canada Bread Company, Limited ("the Company" or "Canada Bread") for the year ended December 31, 2004. The information in this MD&A is current as at February 22, 2005, unless otherwise noted. Canada Bread is 86.9% owned by Maple Leaf Foods Inc. ("Maple Leaf").

RESULTS OF OPERATIONS

The Company recorded sales of $1.32 billion compared to $1.26 billion last year, an increase of 4%.

Operating earnings of $99.0 million represented a 57% year over year improvement before restructuring costs in 2003. Net earnings for the year increased by 87% to $66.6 million ($2.62 per share), compared to $35.6 million ($1.42 per share) in the prior year.

Net interest expense in 2004 was $6.8 million compared with $8.4 million in 2003 due to lower debt levels and lower average interest rates. The Company's average effective cost of borrowing for 2004 was 2.7% (2003: 3.2%). The Company's capital structure is discussed in more detail in Note 6 to the Consolidated Financial Statements.

The effective tax rate was 27.8% in 2004 as compared with 24.4% in 2003. The Company's tax rate is discussed in Note 12 to the Consolidated Financial Statements.

All operating earnings comparisons exclude $7.4 million of restructuring costs in the first quarter of 2003 in the Fresh Bakery. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

(In thousands of Canadian dollars except per share amounts)	2004	2003	% Change
Sales	**$ 1,318.9**	$ 1,262.8	4%
Operating earnings before restructuring costs	**99.0**	62.9	57%
Net earnings	**66.6**	35.6	87%
Total assets	**767.6**	780.0	(2%)
Net debt	**62.5**	142.1	(56%)
Earnings per share			
Basic	**2.62**	1.42	85%
Diluted	**2.57**	1.39	85%
Dividends per share	**0.24**	0.24	– %

OPERATING EARNINGS

The sales increase of 4% was primarily due to increased Fresh Bakery sales in Canada, and growth in U.K. bagel sales, offset by lower North American frozen sales, primarily as a result of conversion of U.S. sales to Canadian currency. This overall increase in sales was accomplished in spite of the effect of low carbohydrate diet trends. Although frozen sales declined for the year due to currency translation, volumes were higher than last year.

The primary drivers of better profitability in the year were significantly increased earnings from the Fresh Bakery due to sales mix, price increases that offset higher costs, and improved operating efficiencies. Although fresh bread consumption in Canada declined in 2004, the underlying trend was a move away from white bread and towards higher value premium products such as whole grains and organic breads. As the Fresh Bakery's sales mix is skewed towards these products, it benefited significantly from this trend, resulting in higher volumes and selling prices. Compounding this benefit was the continuing success of *Dempster's Stay Fresh to the Last Slice*™ white bread product launch that continued to gain market share against a backdrop of declining white bread consumption.

Further operating efficiencies were realized, particularly in Eastern Canada, due to the synergies from the combination of bakeries after the acquisition of Multi-Marques and Ben's Limited.

The Company was able to effect increases in the prices of its products in Canada that offset significant increases in costs, particularly energy and other inputs. Although some price increases were achieved in the U.S., these were not as significant, and increased costs of distribution and fuel impacted the North American frozen operations.

FRESH BAKERY
(Fresh bakery products and specialty fresh pasta and sauces)

Fresh Bakery sales for the year increased 5% to $929.5 million from $882.1 million last year. Operating earnings increased 82% to $67.2 million from $37.0 million last year. Earnings comparisons are affected by the costs of a strike in 2003 at one of the Company's distribution centers that reduced operating earnings by $7.4 million in the first nine months of 2003.

Strong sales of value-added products including whole grain, whole wheat, organic and specialty breads, and *Dempster's Stays Fresh to the Last Slice*™ bread contributed to increased margins. A national rollout of *Dempster's Healthy Way*™ Organic Bread, including *100% Stone Ground Whole Wheat* and *14 Grain*, was completed in the third quarter and a national expansion of *WholeGrains*™ bagels was completed in the fourth quarter, reflecting the Company's continuing investment in whole grain premium bakery products. The Fresh Bakery Group also improved operating performance and efficiencies in 2004, benefiting from the application of Six Sigma to reduce manufacturing and distribution costs. The performance of the Atlantic Canada bakeries contributed to improved profitability during 2004 as new management made excellent progress in resolving integration related operating issues that impacted the prior year.

The Olivieri® pasta operations made great progress in expanding North American retail and foodservice sales in 2004.

FROZEN BAKERY
(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)

Frozen Bakery sales increased 2% to $389.4 million in 2004 from $380.7 million last year. Operating earnings grew by 23% to $31.8 million from $25.9 million in 2003. The earnings growth was driven by a strong performance of the U.K. bakery, as a result of increased sales and improved margins. The North American frozen bakery business had lower sales compared to 2003 due to the effect of currency translation and operating earnings decreased marginally.

In the U.K., both operating earnings and sales increased as demand for bagels continued to grow and the Company began to export bagels from the U.K. to Europe in the latter part of 2004. The Company constructed a new bagel bakery that will commence operations in the second quarter of 2005. The new facility will increase production capacity, improve the quality of product and lower production costs. The commissioning of this $24 million bakery will allow the closure of the bakery in Peterborough, England in the first half of 2005.

The North American frozen business achieved significant growth in the foodservice market, benefiting from the shift in healthier sandwich offerings at quick service restaurants. Offsetting this were three factors. The low carb phenomenon appeared to have more impact in the U.S. which is the biggest market for our Frozen Bakery business. This resulted in weaker retail in-store bakery sales, which also tend to be more weighted toward white bread products. The second factor was the higher Canadian dollar, which resulted in a lower value of U.S. earnings when translated to Canadian dollars. The third factor was increased costs, primarily related to the supply chain.

To support sales and market growth, the Company is launching a revolutionary new line of *FroBake*® products that complement its par-baked product line and provide a superior alternative to frozen dough by offering a product that is more moist and crusty, and eliminates the need to proof the bread. *FroBake*® products will be produced on a commercial basis at the Company's bakery in Roanoke, Virginia commencing in the second quarter of 2005.

RESTRUCTURING COSTS

During the first quarter of 2003, the Company recorded $7.4 million in restructuring costs ($4.8 million after-tax) related to the closure of a London, Ontario bakery and transfer of it's production to other bakeries, increasing system capacity utilization and efficiencies due to higher throughput and lower costs. The Company reflected these restructuring costs as a separate component of operating earnings.

ACQUISITIONS

In July 2003, the Company acquired Parisco Limited of Richmond Hill, Ontario for $6.2 million. Parisco is a producer of Belgian style waffles.

In 2002, the Company acquired Olafson's Baking Company Inc. of Delta, British Columbia, a manufacturer of premium value-added fresh bakery products. The total purchase cost of $20.6 million included $9.1 million of contingent consideration, which has been paid. The final payment of contingent consideration in the amount of $5.9 million was made in 2004.

Details of assets and liabilities acquired in these acquisitions and purchase adjustments made are set out in Note 15 to the Consolidated Financial Statements.

CASH FLOWS

Operating cash flow for the year of $142.7 million compared to $66.4 million last year. The major components of cash flow from operations were net earnings of $66.6 million, non-cash depreciation of $42.3 million and changes in non-cash working capital of $42.5 million. Included in this improvement in non-cash working capital was the $20.0 million favourable impact of an increase in the Company's accounts receivable securitization program.

Capital expenditures for the year of $69.6 million compared to $63.8 million last year. The Company owns or leases approximately 35 manufacturing facilities, and a supporting network of distribution facilities and offices. These facilities require a minimum level of maintenance spending to keep them in appropriate condition, and the Company also has a strategy of continued re-investment in technology and process in these facilities that ensures relative competitiveness and reduces the cost of production. In addition to this, the Company will further invest in incremental production capacity where warranted. Management anticipates that future capital expenditure needs can be funded by internally generated cash.

CAPITAL RESOURCES AND LIQUIDITY

The bakery industry is generally characterized by high sales volumes and rapid turnover of inventories and accounts receivable. Investment in working capital is also affected to some extent by fluctuations in the prices of raw materials, seasonal and other market-related fluctuations.

Due to the stability of the industry and its successful operations, the Company has consistently generated a significant amount of operating cash. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding required for its strategic investing activities.

In January 2003, the Company issued four million shares to Maple Leaf from treasury at $26.50 per share in a private placement transaction. Proceeds from the financing of $106.0 million were used to pay down the Company's credit facility with Maple Leaf that had been incurred to finance the purchase of Maple Leaf's frozen bakery assets in 2002.

To provide additional liquidity, the Company and its subsidiaries had aggregate credit facilities (excluding accounts receivable securitization programs) of $251 million (2003: $277 million), of which $100 million (2003: $180 million) was utilized (including $8 million in respect of letters of credit) at December 31, 2004.

To ensure continued liquidity, the Company maintains its leverage at levels that provide access to investment grade credit.

Since the Company's primary facilities mature in 2005, the Company is planning to re-finance its revolving credit agreement within the next six months. Management is of the opinion that its cash flow and traditional sources of financing will continue to provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program. Additional details concerning financing are set out in the Notes to the Consolidated Financial Statements.

The following table provides payment information as at December 31, 2004 about certain of the Company's material contractual obligtions (due by fiscal year):

(In millions of Canadian dollars)	Total	2005	2006	2007	2008	2009	After 2009
Long-term debt net of convertible	**$ 71.8**	$ 71.5	$ 0.3	$ -	$ -	$ -	$ -
Lease obligations	**53.8**	16.6	12.6	9.1	5.6	4.1	5.8
Total contractual obligations	**$ 125.6**	$ 88.1	$ 12.9	$ 9.1	$ 5.6	$ 4.1	$ 5.8

DERIVATIVES

Inherent in the food business is the exposure to market risks from changes in commodity prices (primarily wheat), interest rates and foreign exchange rates. When considered appropriate, these exposures may be managed by the use of derivative financial instruments, including interest rate swaps, currency contracts, commodity futures and options. Information on the Company's material year end derivative hedge positions is set out in Note 7 to the Consolidated Financial Statements. If the Company had not entered into these contracts, operating earnings for 2004 would have been lower by $0.5 million and interest expense would have been higher by $1.4 million.

Management hedges commodities when it determines that conditions are appropriate to mitigate risks and reduce the risk of loss from adverse changes in commodity prices. The Company attempts to closely match commodity contract terms with the underlying hedged exposure and continually measures the effectiveness of the hedge in place.

The Company enters into interest rate swaps that effectively fix a portion of the interest payment on its interest bearing debt and securitization program. At December 31, 2004, 70% (2003: 16%) of the Company's exposure to interest rate fluctuations was hedged or fixed. The Company periodically enters into foreign exchange hedges to fix certain of its foreign currency exposure.

All hedging and derivative activity is in accordance with written risk management policies that specify both the type of allowed derivatives, maximum trading exposures and the definition of allowable hedge activity.

During 2004, there were no material derivative gains or losses related to hedge ineffectiveness and no hedges were discontinued in 2004 as a result of it becoming probable that a forecasted transaction would not occur.

In general, the Company holds derivative contracts to maturity as they are matched with the underlying commodity, interest rate or foreign exchange exposure. The financial impact, should the Company terminate and settle these arrangements, is disclosed in Note 7 to the Consolidated Financial Statements. There are no other obligations or liabilities under these arrangements that may require further funding by the Company.

RELATED PARTY TRANSACTIONS

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, accounting, investor relations, engineering and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management fee of $7.0 million (2003: $6.8 million) to Maple Leaf.

The Company received certain information system services from Maple Leaf for a cost of $4.6 million (2003: $3.5 million) and paid for engineering services in the amount of $1.3 million (2003: nil).

Maple Leaf Foods increased its investment in Canada Bread during the year from 84.7% to 86.6%. In January 2005, an additional 66,900 shares were purchased to increase its ownership position to 86.9%.

RISK FACTORS

The Company operates in the food processing and agricultural sectors and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position.

Food Safety and Consumer Health Risk: The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage or contamination, consumer product liability, and the potential costs and disruptions of a product recall. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its

manufacturing facilities and distribution systems. The Company's facilities are subject to audit by federal health agencies in Canada and similar institutions outside of Canada, and performs its own audits to ensure compliance with its internal standards, which are generally at or higher than regulatory agency standards. However, the Company cannot guarantee that compliance with procedures and regulations will necessarily mitigate the risks related to food safety.

Foreign Currencies: A significant amount of the Company's revenues and costs are either denominated in or directly linked to currencies (primarily U.S. dollars and Pounds Sterling) other than the Canadian dollar. Due to the diversity of the Company's operations, normal fluctuations in these other currencies have relatively small impacts on the Company's profitability due to (a) "natural hedges" or offsetting currency exposures (for example, when revenues and costs are both linked to other currencies) or (b) an ability to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden change in exchange rates can have a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices, or where possible or necessary, reducing costs.

CHANGES IN ACCOUNTING POLICIES

Accounting for Asset Retirement Obligations: In March 2003, a new Canadian accounting standard, Section 3110, "Accounting for Asset Retirement Obligations" was issued. The new standard requires companies to record the fair value of an asset retirement obligation as a liability in the period in which they incur a legal obligation associated with the retirement of tangible long-lived assets that results from the acquisition, construction, development and/or normal use of the assets. Companies are also required to record a corresponding amount as an asset that is depreciated as a charge to earnings over the life of the asset. Companies were required to adopt Section 3110 for fiscal years beginning on January 1, 2004. The application of this standard did not have a material impact on the Consolidated Financial Statements of the Company.

Consolidation of Variable Interest Entities: In June 2003, a new Canadian Accounting Guideline AcG-15, "Consolidation of Variable Interest Entities" was issued. This Guideline addresses the consolidation of variable interest entities, which are entities that have insufficient equity at risk to finance their activities without additional financial support or where the holder of the equity at risk lacks the characteristics of a controlling financial interest. The Guideline also provides guidance for determining whom, if anyone should consolidate the variable interest entity. The application of this standard will not have a material impact on the Company.

Financial Instruments: In January 2004, amendments to the Canadian accounting standards Section 3860, "Financial Instruments – Presentation and Disclosure" were issued and require that obligations of a fixed amount, which can be settled at the option of the issuer by a variable number of the issuer's shares, be presented as a liability. The amendments to Section 3860 are applicable for periods beginning after November 1, 2004. The Company has included $20 million in equity related to a debt facility with Maple Leaf due to the fact that it can be settled, at the Company's option, in common shares. The adoption of the amendments to Section 3860 in 2005 will result in this balance being reclassified as debt on a retroactive basis.

Embedded Leases: In December 2004, emerging issues EIC 150, "Determining Whether an Arrangement Contains a Lease" was issued. These guidelines provide guidance to companies on how to determine whether an arrangement contains a lease of a tangible asset and is based upon whether an arrangement effectively conveys to the purchaser the right to use a tangible asset. These guidelines are effective for arrangements entered into or modified after January 1, 2005 and the Company does not expect them to have a material impact on its operations and financial condition related to current contracts.

RECENT ACCOUNTING PRONOUNCEMENTS

On January 27, 2005, the Canadian Accounting Standards Board issued three new draft guidelines that introduce new requirements for the recognition and measurement of financial instruments that are based on and similar to standards issued by the Financial Accounting Standards Board in the United States and the International Accounting Standards Board.

Comprehensive Income – ***Section 3251:*** requires that entities present comprehensive income and its components, as well as net income in its financial statements. Comprehensive income is the change in equity of an enterprise during a period from transactions and other events from non-owner sources. It includes all changes in equity during a period except those resulting from investments by and distributions to owners.

Financial Instruments – ***Section 3855:*** requires that all financial assets be classified as held for trading, held to maturity, loans and receivables or available for sale. All derivative instruments, including those that are embedded in, but not closely related to, a host contract must be classified as held for trading. Financial assets and liabilities classified as held for trading must be measured at fair value with gains and losses recognized in the periods in which they arise. Financial assets classified as held to maturity, loans and receivables, and financial liabilities not classified as held for trading must be measured at their amortized cost. Financial assets classified as available for sale are measured at fair value with gains and losses recognized in other comprehensive income until the underlying financial asset is derecognized or becomes impaired.

Hedges – ***Section 3865:*** establishes standards for when and how hedge accounting may be applied. The standard requires that hedges be designated as either fair value hedges, cash flow hedges or hedges of a net investment in a self-sustaining operation. For a fair value hedge, the gain or loss on the hedging item is recognized in earnings in the period of change together with the offsetting change attributable to the hedged risk. For a cash flow hedge, as well as a hedge of a net investment in a self-sustaining foreign operation, the effective portion of the gain or loss on the hedging item is initially reported in other comprehensive income and subsequently recognized in earnings when the hedged item affects earnings.

These three new accounting standards are effective for fiscal years beginning on or after October 1, 2006. The Company has not yet determined the impact of these new standards on its operations and financial condition.

CRITICAL ACCOUNTING ESTIMATES

The preparation of the Company's Consolidated Financial Statements requires management to make certain estimates and assumptions. The estimates and assumptions are based on the Company's experience combined with management's understanding of current facts and circumstances. These estimates may differ from actual results, and certain estimates are considered critical as they are both important to reflect the Company's financial position and results of operations and require significant or complex judgment on the part of management. The following is a summary of certain accounting estimates or policies considered critical by the management of the Company.

Goodwill: Goodwill is tested for impairment annually and as part of this test the Company values its various reporting units. The Company's goodwill was tested in the second quarter of 2004 and no impairment in the value had occurred.

Trade Merchandise Allowances: The Company provides for estimated payments to customers based on various trade programs and contracts that include payments upon attainment of certain sales volumes.

Employee Benefit Plans: The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method. It is prorated on service and management's best estimate of expected plan investment performance (7.5%), salary escalation (4%), retirement ages of employees and expected health care costs. Discount rates (6%) used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities. The effect of a decrease in the assumptions on the Company's 2004 earnings, assuming no change in benefit levels and no amortization of gains or losses for the Company's plans is as follows:

	Percentage point decrease	Higher 2004 expense ($ millions)
Discount rate	0.50%	$ 0.6
Expected return on assets	0.50%	$ 0.4

ENVIRONMENT

The Company is conscious of its environmental responsibilities. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Human Resources and Corporate Governance Committees. The Company's environmental program is monitored on a regular basis by this Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent external environmental analyses. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to minimize the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company.

ADDITIONAL INFORMATION

Additional information, including reports, information circulars and annual information forms for Canada Bread have been filed electronically through the System for Electronic Document Analysis and Retrieval (SEDAR) and is available online at www.sedar.com, and on the Company's website at www.canadabread.ca.

QUARTERLY FINANCIAL INFORMATION

The following is a summary of unaudited quarterly financial information for the two years ended December 31, 2004 and 2003 (in thousands of dollars except per share amounts):

		1st Quarter	2nd Quarter	3rd Quarter	4th Quarter	Total
Sales	2004	305,412	329,668	335,707	348,078	1,318,865
	2003	308,992	312,516	324,024	317,279	1,262,811
Net earnings	2004	12,549	15,799	19,048	19,252	66,648
	2003	3,318	9,183	11,301	11,831	35,633
Net earnings before restructuring costs	2004	12,549	15,799	19,048	19,252	66,648
	2003	8,120	9,183	11,301	11,831	40,435
Cash flow from operating activities	2004	28,561	32,821	32,773	48,577	142,732
	2003	(3,774)	(6,250)	28,363	48,035	66,374
Earnings per share ($)						
Basic	2004	0.49	0.62	0.75	0.76	2.62
	2003	0.14	0.36	0.44	0.47	1.42
Basic before restructuring costs	2004	0.49	0.62	0.75	0.76	2.62
	2003	0.34	0.36	0.44	0.47	1.61
Diluted	2004	0.48	0.61	0.73	0.75	2.57
	2003	0.14	0.35	0.44	0.46	1.39

Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The consolidated financial statements and related information in the annual report are the responsibility of management. The consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles, which involve the use of judgment and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the consolidated financial statements.

The Company maintains systems of internal controls, which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's consolidated financial statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the consolidated financial statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.

February 22, 2005





Richard A. Lan
President and Chief Executive Officer

Michael H. Vels
Chief Financial Officer

Auditors' Report to the Shareholders

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2004 and 2003 and the consolidated statements of earnings, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2004 and 2003 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.



Chartered Accountants
Toronto, Canada
February 22, 2005

Consolidated Balance Sheets

As at December 31 (In thousands of Canadian dollars)	2004	2003
Assets		
Current Assets:		
Cash and cash equivalents	$ 9,312	$ 11,528
Accounts receivable (Note 3)	24,148	44,699
Inventories (Note 4)	33,504	33,205
Future tax asset - current (Note 12)	5,193	5,838
Prepaid expenses	2,103	2,081
	74,260	97,351
Property and equipment (Note 5)	354,128	335,811
Goodwill and other intangibles	330,404	341,814
Future tax asset - non-current (Note 12)	5,465	2,321
Other long-term assets	3,386	2,657
	$ 767,643	$ 779,954
Liabilities and Shareholders' Equity		
Current Liabilities:		
Accounts payable and accrued charges	$ 149,410	$ 151,134
Due to Maple Leaf Foods Inc.	140	443
Dividends payable	1,525	1,525
Income and other taxes payable	26,501	4,392
Current portion of long-term debt (Note 6)	71,482	26,941
	249,058	184,435
Long-term debt (Note 6)	344	126,710
Future tax liability (Note 12)	21,780	31,382
Shareholders' equity (Note 8)	496,461	437,427
	$ 767,643	$ 779,954

Contingencies and commitments (Note 16)

See accompanying Notes to the Consolidated Financial Statements.

On behalf of the Board:





Richard Lan
Director

John Bragg
Director

Consolidated Statements of Earnings

Years ended December 31, (In thousands of Canadian dollars, except per share amounts)	2004	2003
Sales	$ 1,318,865	$ 1,262,811
Earnings from operations before restructuring costs	$ 98,970	$ 62,941
Restructuring costs (Note 9)	–	(7,422)
Earnings from operations	98,970	55,519
Other income (expense) (Note 10)	125	(11)
Earnings before interest and income taxes	99,095	55,508
Interest expense (Note 11)	6,837	8,355
Earnings before income taxes	92,258	47,153
Income taxes (Note 12)	25,610	11,520
Net earnings	$ 66,648	$ 35,633
Earnings per share – basic (Note 17)	$ 2.62	$ 1.42
Earnings per share – diluted (Note 17)	$ 2.57	$ 1.39
Weighted average number of shares (millions)	25.4	25.1

Consolidated Statements of Retained Earnings

Years ended December 31, (In thousands of Canadian dollars)	2004	2003
Retained earnings, beginning of year	$ 277,279	$ 247,746
Net earnings	66,648	35,633
Dividends declared ($0.24 per share; 2003 - $0.24 per share)	(6,100)	(6,100)
Retained earnings, end of year	$ 337,827	$ 277,279

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Cash Flows

Years ended December 31, (In thousands of Canadian dollars)	2004	2003
Cash Provided By (Used In):		
Operating Activities		
Net earnings	$ 66,648	$ 35,633
Add (deduct) items not affecting cash:		
Depreciation	42,288	39,529
Future income taxes	(12,101)	(3,010)
Loss on sale of property and equipment	19	196
Other	3,360	2,565
Change in non-cash operating working capital	42,518	(8,539)
	142,732	66,374
Financing Activities		
Dividends paid	(6,100)	(5,860)
Increase in long-term debt	13,779	79,609
Decrease in long-term debt	(78,748)	(174,131)
Increase in share capital (Note 8)	–	106,000
	(71,069)	5,618
Investing Activities		
Additions to property and equipment	(69,622)	(63,792)
Proceeds from sale of property and equipment	1,051	1,146
Purchase of net assets of businesses (Note 15)	(5,894)	(8,928)
Change in intangible assets	586	(1,279)
	(73,879)	(72,853)
Decrease in cash and cash equivalents	(2,216)	(861)
Cash and cash equivalents, beginning of year	11,528	12,389
Cash and cash equivalents, end of year	$ 9,312	$ 11,528
Supplemental Cash Flow Information:		
Net interest paid	$ 6,557	$ 10,384
Net income taxes paid	15,602	23,235

See accompanying Notes to the Consolidated Financial Statements

Notes to the Consolidated Financial Statements

Years Ended December 31, 2004 and 2003
(Tabular amounts in thousands of Canadian Dollars, except share amounts)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or "the Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 86.6% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at December 31, 2004.

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company. The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(a) Principles of consolidation: The consolidated financial statements include the accounts of the Company and its subsidiaries.

(b) Translation of foreign currencies: The accounts of foreign subsidiaries are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average exchange rates for the year for revenue and expenses. Exchange gains or losses on translation are deferred and included as a separate component in shareholders' equity until realized.

(c) Hedging arrangements: The Company enters into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The Company uses hedge accounting to record these derivative transactions.

The Company formally documents all relationships between hedging instruments and hedged items, as well as its risk management objective and strategy for undertaking various hedged transactions. This process includes assigning all derivatives to specific assets and liabilities on the balance sheet or to specific firm commitments or anticipated transactions. The Company formally assesses, using regression analysis, both at the inception of the hedge and on a quarterly basis, whether the derivatives that are used in hedging transactions are effective in offsetting the changes in the fair values or the cash flows of hedged items. All hedging instruments and relationships in existence as at December 31, 2004 were assessed on the above basis and it was determined that they met the criteria relative to hedge effectiveness.

The Company uses currency forward contracts and options to hedge its exposures to transactions denominated in foreign currencies. The Company also uses futures and options to hedge its exposures to commodity based transactions (primarily wheat purchases). When the criteria for hedge effectiveness is met, the gains and losses on the currency and/or commodity hedging instruments are recognized in the consolidated financial statements in the same period as the item to which the hedged position relates. Any accrued amounts receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively. When hedge effectiveness is not met, the Company records the fair value of the hedging items as other liabilities or assets on the balance sheet. Any resulting gains or losses are recorded in other income.

The Company enters into interest rate and foreign exchange swaps to reduce the impact of fluctuating interest rates and exchange rates on short-term and long-term debt. The Company designates its interest rate hedge agreements and foreign exchange swaps relating to debt as hedges of the underlying debt. The interest rate swap agreements involve the periodic exchange of payments without the exchange of the notional principal amount upon which the payments are based. Interest expense on the debt is adjusted to include the payments made or received on the interest rate swaps. The related amount payable to or receivable from counterparties is included as an adjustment to accrued interest.

The Company designates its cross currency swap as a hedge of its net investment in its U.S. based businesses. Any exchange gain or loss on its cross currency swap is offset against the unrealized exchange gain or loss arising on translation of the U.S. dollar financial statements of these businesses and is included in the unrealized foreign currency adjustment account in shareholders' equity.

Realized and unrealized gains or losses associated with derivative instruments, which have been terminated or cease to be effective prior to maturity, are recorded as liabilities or assets on the balance sheet and recognized in income in the period in which the underlying hedged transaction is recognized. In the event the designated hedged item is sold, extinguished or matures prior to the termination of the related derivative instrument, any unrealized gain or loss on such derivative instrument is recognized immediately in income.

(d) Revenue recognition: The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product net of estimated returns. An estimate of sales incentives provided to customers is also recognized at the time of sale and is classified as cost of sales. Sales incentives include various rebate and promotional programs with the Company's customers, primarily rebates based on achievement of specified volume or growth in volume levels.

(e) Inventories: Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(f) Property and equipment: Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

- Buildings 2.5% to 5%
- Machinery and equipment 10% to 33%

(g) Deferred financing costs: Costs incurred to obtain long-term debt financing are amortized over the term of such debt and are included in interest expense for the year.

(h) Asset retirement obligations: Effective January 1, 2004, the Company adopted the new Canadian accounting standard, Section 3110, "Accounting for Asset Retirement Obligations". The new standard requires companies to record the fair value of an asset retirement obligation as a liability in the period in which they incur a legal obligation associated with the retirement of tangible long-lived assets that results from the acquisition, construction, development and/or normal use of the assets. Companies are also required to record a corresponding amount as an asset that is depreciated as a charge to earnings over the life of the asset. The application of this standard did not have a material impact on the Consolidated Financial Statements of the Company.

(i) Goodwill and other intangibles: Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to the identifiable tangible and intangible assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands and delivery routes. Definite life intangibles are amortized over their estimated useful life. Goodwill is tested for impairment annually in the second quarter and as required if there are indicators of impairment in value. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value.

(j) Income taxes: The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date.

(k) Employee benefit plans: The Company accrues obligations under employee benefit plans and the related costs, net of plan assets. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation and retirement ages of employees. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the market value of assets and all gains and losses due to changes in plan provisions are amortized on a straight line basis over the expected average remaining service period of the active Plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

(l) Statement of cash flows: Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(m) Comparative figures: Certain 2003 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2004.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At December 31, 2004, trade accounts receivable amounting to $70 million (2003: $50 million) had been sold under these programs.

4. INVENTORIES

	2004	2003
Material held for production	$ 22,539	$ 22,111
Finished products	10,965	11,094
	$ 33,504	$ 33,205

5. PROPERTY AND EQUIPMENT

	2004	2003
Land	$ 27,663	$ 32,131
Buildings	130,113	118,807
Machinery and equipment	393,578	357,843
Construction in progress	49,869	46,189
	601,223	554,970
Less: accumulated depreciation	247,095	219,159
	$ 354,128	$ 335,811

6. LONG-TERM DEBT

	2004	2003
Revolving term facility (a)	$ –	$ 78,324
Due to Maple Leaf (b)	90,850	93,923
Other	562	1,399
Obligations under capital leases	414	5
	91,826	173,651
Less:		
Current portion	71,482	26,941
Portion classified as equity (b)	20,000	20,000
	91,482	46,941
	$ 344	$ 126,710

(a) In July 2001, Canada Bread established a bank facility to finance the acquisition of Multi-Marques Inc. and provide liquidity for general corporate purposes. The facility is structured as follows:

(i) a $38.5 million (2003: $77.0 million) revolving/reducing term facility, maturing in July 2005

(ii) a committed four-year $20.0 million revolving facility, maturing in 2005

These facilities can be drawn in either Canadian or U.S. dollars and bear interest based on Bankers' Acceptance rates for Canadian dollar loans and LIBOR for U.S. dollar loans. At December 31, 2004, $7.9 million (2003: $85.0 million) was utilized under this facility of which the full amount (2003: $6.7 million) was in respect of letters of credit.

(b) Canada Bread has a $169.0 million revolving debt facility with Maple Leaf. The facility was established in December 2002 to fund the acquisition of the Maple Leaf Bakery Group and to provide liquidity for general corporate purposes. This revolving facility is repayable on December 27, 2005. Net interest paid to Maple Leaf under this facility was $2.0 million in 2004 (2003: $2.3 million). This facility bears interest at substantially the same rates as the facility described in (a) above.

At December 31, 2004, a total of $141.9 million (2003: $128.1 million) was drawn. Netted against this amount is a $51.1 million (2003: $34.2 million) receivable related to the Company's five-year cross-currency swap with Maple Leaf (Note 7). The swap has a current unrealized gain of $56.8 million in total, of which $51.1 million represents the portion of the gain related to currency translation that must be recorded on the balance sheet. Under the terms of the debt facility, each party has the legal right to set off any amounts owed by it to the other party against any amounts receivable from the other party. Accordingly, the currency gain has been recorded as a reduction of long-term debt.

Canada Bread has an option to repay up to $20.0 million of debt outstanding under this facility in common shares. As required by Canadian accounting standards, this amount has been classified as a separate component of shareholders' equity.

In addition, the Company has undrawn demand overdraft facilities of $22.0 million (2003: $10.0 million), which bear interest at short-term rates. At year end, there were no amounts outstanding under these facilities.

The Company's blended average effective cost of borrowing for 2004 was 2.7% (2003: 3.2%), after adjusting for payments made under swap contracts in place in 2004 (Note 7).

Required repayments of long-term debt are as follows:

2005	$ 91,482
2006	318
2007	26
2008	–
2009	–
Thereafter	–
	$ 91,826

7. DERIVATIVE FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

In the ordinary course of business, the Company enters into derivative financial instruments with Maple Leaf as its counterparty to reduce underlying risks associated with foreign currency and interest rates.

Foreign currency risk management – The Company uses foreign currency forward contracts and options to manage its currency exposures. The currency exposure relates primarily to U.S. dollar-denominated export sales and U.S. dollar linked commodities, primarily flour.

At December 31, 2004, the Company had outstanding commitments to sell US$0.9 million (2003: US$10.1 million) at an average rate of 1.2375.

Interest rate risk management – The Company uses interest rate swaps to manage its exposure to interest rate fluctuations. At December 31, 2004, the Company had entered into interest rate swap contracts with Maple Leaf, having an aggregate notional amount of $150.0 million (2003: $40.0 million) and maturity dates ranging from July 12, 2005 to June 28, 2014. The fixed rates payable by the Company under these contracts range from 4.0% to 5.4%. The floating rates are based on the three-month bankers' acceptance rate.

Based on market values at December 31, 2004, the Company would have realized a loss of $5.4 million (2003: loss of $0.6 million) if it terminated the above-noted swap agreements.

In 2003, the Company entered into a five year cross-currency swap with Maple Leaf to hedge U.S. dollar-denominated assets. This swap requires Canada Bread to pay interest of 3.48% per annum on US$140.0 million and receive interest of 4.45% per annum on CAD$219.6 million. Based on market values as at December 31, 2004, the Company would have

realized a gain of $56.8 million if it terminated the above-noted swap agreement. Since this instrument was designated to hedge the currency translation on the Company's U.S. dollar-denominated assets, the portion of the gain related to currency translation ($51.1 million) has been recorded in the cumulative translation account. This amount has also been recorded as a reduction of long-term debt (Note 6).

Commodity price risk management: The Company uses a variety of third party derivative instruments to manage its exposure to commodity price fluctuations. Based on market values at December 31, 2004, the Company would have realized a loss of $1.3 million (2003: gain of $0.6 million) to terminate these outstanding contracts.

Fair values of financial assets and liabilities: Fair values of cash and cash equivalents, accounts receivable, accounts payable and accrued charges, and current portion of long-term debt approximate their carrying values due to their short-term nature.

The fair value of long-term indebtedness pursuant to the Company's facilities approximates its carrying value as it bears interest at floating rates.

8. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

	2004	2003
Share capital (25,416,812 common shares; 2003 - 25,416,812 common shares)	**$ 142,965**	$ 142,965
Retained earnings	**337,827**	277,279
Equity component of long-term debt (Note 6)	**20,000**	20,000
Unrealized foreign currency adjustment	**(4,331)**	(2,817)
	$ 496,461	$ 437,427

The authorized share capital of the Company consists of an unlimited number of common shares.

On January 28, 2003, the Company issued four million shares to Maple Leaf from treasury at $26.50 per share in a private placement transaction. Proceeds from the financing of $106.0 million were used to pay down debt owing by the Company to Maple Leaf (Note 6).

9. RESTRUCTURING COSTS

During 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million after-tax) relating to plant closures and operational restructuring. Included in the $7.4 million were provisions of $6.1 million relating to employee terminations, facility exit costs, and other restructuring costs. Of the $6.1 million in provisions, $1.9 million was paid in 2004 (2003: $3.3 million).

10. OTHER INCOME (EXPENSE)

	2004	2003
Loss on sale of property and equipment	**$ (19)**	$ (196)
Other	**144**	185
	$ 125	$ (11)

11. INTEREST EXPENSE (INCOME)

	2004	2003
Interest expense on long-term debt	**$ 3,041**	$ 8,664
Other net interest expense (income)	**3,796**	(309)
	$ 6,837	$ 8,355

12. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income taxes rate as a result of the following:

	2004	2003
Income tax expense according to combined statutory rate of 33.8% (2003: 35.3%)	$ 31,202	$ 16,623
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	(668)	(1,168)
Rate difference on foreign jurisdictions	(4,342)	(4,525)
Non-taxable gains	(27)	(17)
Large Corporations Tax	184	229
Other	(739)	378
	$ 25,610	$ 11,520

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

	2004	2003
Future tax assets:		
Accrued assets	$ 940	$ 7,358
Loss carry forward	16,913	5,467
Other	3,148	–
	$ 21,001	$ 12,825
Future tax liabilities:		
Plant and equipment - differences in net book value and undepreciated capital cost	$ 23,859	$ 30,564
Other	8,264	5,484
	$ 32,123	$ 36,048
Classified in the consolidated financial statements as:		
Future tax asset - current	$ 5,193	$ 5,838
Future tax asset - non-current	5,465	2,321
Future tax liability - non-current	(21,780)	(31,382)
Net future tax liability	$ (11,122)	$ (23,223)

13. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31 in aggregate is as follows:

	2004	2003
Accrued benefit obligation:		
Balance, beginning of year	$ 104,599	$ 98,265
Current service cost	2,560	2,448
Interest cost	6,004	6,226
Benefits paid	(7,875)	(6,990)
Actuarial losses	2,596	3,574
Employee contributions	972	1,076
Balance, end of year	$ 108,856	$ 104,599
Plan assets:		
Fair value, beginning of year	$ 90,376	$ 85,181
Actual return on plan assets	7,465	10,988
Employer contributions	2,616	2,557
Employee contributions	972	1,076
Benefits paid	(7,875)	(6,990)
Asset transfer to Company defined contribution plan	(157)	(2,436)
Fair value, end of year	$ 93,397	$ 90,376

Funded status - plan surplus (deficit)	**$ (15,459)**	$ (14,223)
Unamortized transitional amount	**(8,225)**	(9,004)
Unamortized actuarial losses	**23,619**	22,594
Unamortized prior service cost	**1,124**	1,220
Accrued benefit asset	**$ 1,059**	$ 587

The accrued benefit asset is included in other assets on the balance sheet.

The pension assets are invested in the following asset categories at December 31, 2004 and December 31, 2003:

	2004	2003
Equity securities	**62%**	61%
Debt securities	**38%**	39%
	100%	100%

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31:

	2004	2003
Discount rate used to calculate net benefit plan expense	**6.00%**	6.50%
Discount rates used to calculate year end accrued benefit obligation	**5.75%**	6.00%
Expected long-term rate of return on plan assets	**7.50%**	7.50%
Rate of compensation increase	**4.00%**	4.00%

The Company's net benefit plan expense for the year ended December 31 is as follows:

	2004	2003
Current service cost - defined contribution plans	**$ 6,186**	$ 5,673
Current service cost - defined benefit plans	**2,560**	2,448
Interest cost	**6,004**	6,226
Actual return on plan assets	**(7,465)**	(8,745)
Amount by which actual return on plan assets is higher (lower) than expected	**882**	2,352
Actuarial loss recognized	**6,013**	6,083
Difference between actual and recognized actuarial losses in the year	**(5,325)**	(5,281)
Amortization of transitional obligation	**(778)**	(778)
Amortization of prior service cost	**96**	95
Net benefit plan expense	**$ 8,173**	$ 8,073

Measurement dates for deferred benefit plan obligations and expense:	
2004 expense	December 31, 2003
Balance sheet	December 31, 2004

The Company also has post-retirement benefit obligations of $1.9 million (2003: $1.0 million) that are fully accrued and included in other long-term liabilities.

14. RELATED PARTY TRANSACTIONS

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $7.0 million (2003: $6.8 million) to Maple Leaf.

The Company received certain information system services from Maple Leaf for a cost of $4.6 million (2003: $3.5 million).

The Company received certain engineering services from Maple Leaf for a cost of $1.3 million (2003: nil).

15. ACQUISITIONS

In 2002, the Company acquired Olafson's Baking Company Inc. of Delta, British Columbia, a manufacturer of premium value-added fresh bakery products. The total purchase cost of $20.6 million included $9.1 million of contingent consideration, which has been paid. The final payment of contingent consideration in the amount of $5.9 million was made in 2004.

On July 4, 2003, the Company purchased the assets of a waffle manufacturer located in Richmond Hill Ontario for $6.2 million.

Details of net assets acquired and purchase adjustments in 2004 and 2003 are as follows:

	2004	2003
Net working capital	$ (1,179)	$ (9,918)
Other long-term assets	–	56
Property and equipment	–	(2,524)
Goodwill and other intangibles	2,851	18,327
Future income taxes	–	2,987
Purchase cost	$ 1,672	$ 8,928
Consideration:		
Cash	$ 5,894	$ 8,928
Accounts payable and accrued charges and long-term debt	(4,222)	–
	$ 1,672	$ 8,928

The following table provides details of the activity in the accrued restructuring liabilities associated with acquired businesses since 2002:

	Employee termination costs	Other exit costs	Total
Balance at January 1, 2004	$ 3,808	$ 12,208	$ 16,016
Returned to goodwill	(1,230)	(540)	(1,770)
Cash payments	(1,606)	(4,291)	(5,897)
Reclassification (i)	–	(3,111)	(3,111)
Balance at December 31, 2004	$ 972	$ 4,266	$ 5,238

(i) The amounts reclassified relate primarily to environmental provisions that have been netted off the carrying value of the asset they relate to.

16. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $13.4 million. The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows:

2005	$ 16,598
2006	12,644
2007	9,116
2008	5,596
2009	4,108
Thereafter	5,747
	$ 53,809

17. EARNINGS PER SHARE

The following table sets forth the calculation of basic and diluted earnings per share:

	2004	2003
Numerator:		
Net earnings	$ 66,648	$ 35,633
Interest on convertible debt (Note 6)	376	461
Earnings available to common shareholders	$ 67,024	$ 36,094
Denominator:		
Weighted average common shares outstanding (in thousands)	25,417	25,083
Effect of dilutive securities (in thousands):		
Convertible debt	628	810
Weighted average shares – diluted (in thousands)	26,045	25,893

	2004	2003
Earnings per share:		
Basic	$ 2.62	$ 1.42
Diluted	2.57	1.39

18. SEGMENTED FINANCIAL INFORMATION

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

(In millions of Canadian dollars)	2004	2003
Sales to customers		
Fresh bakery	$ 929.5	$ 882.1
Frozen bakery	389.4	380.7
	$ 1,318.9	$ 1,262.8
Earnings from operations, before restructuring costs		
Fresh bakery	$ 67.2	$ 37.0
Frozen bakery	31.8	25.9
	$ 99.0	$ 62.9
Capital expenditures		
Fresh bakery	$ 31.3	$ 25.0
Frozen bakery	38.3	38.8
	$ 69.6	$ 63.8
Depreciation and amortization		
Fresh bakery	$ 22.1	$ 20.2
Frozen bakery	20.2	19.3
	$ 42.3	$ 39.5
Total assets		
Fresh bakery	$ 395.4	$ 390.6
Frozen bakery	364.9	363.5
Non-allocated assets	7.3	25.9
	$ 767.6	$ 780.0

Corporate Information

DIRECTORS
Michael H. McCain
Chairman of the Board

Richard A. Lan
President and Chief Executive Officer

John L. Bragg O.C.

Sarah A. Everett

Charles J. Mayer

G. Wallace F. McCain O.C.

J. Scott McCain

Thomas P. Muir

John F. Petch

CORPORATE OFFICE
10 Four Seasons Place
Toronto, Ontario M9B 6H7
Tel: (416) 622-2040
www.canadabread.ca

STOCK EXCHANGE LISTING AND STOCK SYMBOL
The Company's common shares are listed on The Toronto Stock Exchange and trade under the symbol "**CBY**".

COMPANY INFORMATION
For public and investor relations inquiries, please call (416) 926-2000.

Copies of the Company's annual and quarterly reports, Annual Information Form and other disclosure documents filed with regulatory authorities are available from the Secretary upon request. Please contact: (416) 926-2000.

ANNUAL MEETING
The Annual Meeting of the Shareholders of Canada Bread Company, Limited will be held at the Metro Toronto Convention Centre, 255 Front Street West, Room 205D, Toronto, Ontario on Friday April 29, 2005 at 1:00 p.m.

AUDITORS
KPMG LLP

REGISTRAR AND TRANSFER AGENT
Computershare Investor Services Inc.

SHAREHOLDER INFORMATION
Inquiries regarding dividends, change of address, transfer requirements or lost certificates should be directed to the Company's transfer agent:
Computershare Investor Services Inc.
Stock and Bond Transfer Department
100 University Avenue, 9th Floor
Toronto, Ontario, M5J 2Y1, Canada
Tel: (514) 982-7555
or 1-800-564-6253 (toll-free North America)
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